



ANSAR ENGLISH SCHOOL, PERUMPILAVU

SOP - FINANCE

Reference No: AES/FN/SOP/Rev01

Purpose:

This SOP outlines the key responsibilities, processes, and controls for the Accounts Department to ensure accurate financial reporting, compliance with legal and regulatory standards, and proper management of the organization's financial resources.

Process Owner: Finance Manager

Scope:

This procedure applies to all financial activities within the Accounts Department, including accounts payable, accounts receivable, financial reporting, payroll, reconciliation, tax compliance, and budgeting.

1. Financial Reporting

Purpose:

Ensure timely and accurate preparation of financial reports (monthly, quarterly, and annual) for internal management and external stakeholders.

Procedure:

1. Data Collection:

- a. Collect all transaction records, bank statements, and source documents.
- b. Ensure all invoices, receipts, and other accounting records are accurately recorded in the accounting system.

2. Report Preparation:

- a. Prepare financial statements, including the balance sheet, profit & loss statement, and cash flow statement.

- b. Ensure financial reports comply with generally accepted accounting principles.

3. Review and Approval:

- a. Financial reports must be reviewed for accuracy by the accounting manager.
- b. Once reviewed, submit reports to the CFO or Finance Director for final approval.

4. Distribution:

- a. Distribute the finalized reports to relevant stakeholders, including management, auditors, and regulatory bodies.

5. Archiving:

- a. Ensure all reports and supporting documentation are archived securely and comply with retention policies.

2. Payroll Processing

Purpose:

Ensure accurate and timely payment of employee salaries, wages, and benefits.

Procedure:

1) Employee Data Collection:

- Collect and update employee payroll information from the HR department (salary, deductions, benefits).
- Verify attendance and timekeeping records issued by the HR Department (timesheets, leave balances).

2) Salary Calculation:

- Calculate gross pay, deductions (taxes, insurance, retirement contributions), and net pay.
- Ensure compliance with labor laws, tax regulations, and company policies.

3) Payment Processing:

- Process payroll via bank transfer, checks, or any other method agreed upon with employees.
- Record payroll entries in the accounting system.

4) Tax Reporting and Filing:

- Prepare and file tax returns for payroll taxes (e.g., professional tax, TDS, etc.).
- Ensure timely remittance of withheld taxes to the appropriate authorities.

5) Pay slip Distribution:

- Generate and distribute pay slips to employees electronically or via physical copies.

6) Payroll Reports:

- Prepare reports summarizing payroll expenses, tax deductions, and other relevant information for management.

3. Purchase Process

Purpose:

Ensure that all materials and services are procured in a transparent, cost-effective, and controlled manner.

1) Purchase Requisition

- Departments must submit approved purchase requisition to the Accounts/ Purchase department after authorization by the department Head and institution Director.
- Requisition should be properly signed and documented

2) Request for Quotation (RFQ):

- Based on requisition, request for quotation is sent to multiple approved suppliers.
- Ensure RFQ contains clear specifications, quantity, and delivery terms.

3) Quotation Approval:

- Quotations received from suppliers are complied
- Finance Management Committee reviews and approves the best quotation considering price, quality, and delivery terms.

4) Purchase order (PO):

- Approved quotation is converted in to a formal purchase order
- PO is issued to the selected supplier and recorded in accounts.

5) Receiving Inventory:

- Materials /Services received are checked and verified by the Sore department.
- Goods Received Note (GRN) is prepared and shared with the Accounts department.

6) Invoice Submission:

- Supplier submits invoice to accounts along with PO and GRN for cross-verification.
- Accounts ensure the invoice details match the PO and GRN

4. Accounts Payable

Purpose:

Ensure that all vendor invoices are processed and paid accurately and on time.

1) Invoice Receipt and Recording:

- Receive and log vendor invoices as soon as they arrive.
- Ensure the invoice matches purchase orders or contracts

2) Invoice **Approval:**

- Send invoices to the relevant department for verification and approval
- Ensure approvals are received from authorized personnel before payment

3) Payment **Processing:**

- Schedule payments according to vendor terms
- Process payments via the appropriate method (Cheque, bank transfer, etc.)

4) Reconciliation:

- Reconcile accounts payable records with bank statements monthly
- Investigate any discrepancies and resolve them promptly.

5. Accounts Receivable

Purpose:

Manage the collection of payments from different collection centers in a timely and efficient manner.

Procedure:

1. **Verification of collection records and recorded in to accounting system:**

- Log in to the collection software portal and enter into the account's software.
- Ensure that collections are accurate and match the figures appearing in the collection system.

2. **Payment Tracking:**

- Record receipts as soon as they are received.
- Maintain a ledger of outstanding receivables of various collection heads

3. **Collections:**

- Monitor overdue accounts and follow up with the collection office for the settlement.
- Send reminders to arrear collection teams as if necessary.

4. **Reconciliation:**

- Reconcile accounts receivable records with bank deposits monthly.
- Investigate discrepancies and resolve them promptly.

6. **Bank Reconciliation**

Purpose:

Ensure that all bank transactions are accurately recorded and aligned with the institution's records.

Procedure:

1. **Collect Bank Statements:**

- Obtain bank statements for all institution's accounts monthly.

2. **Compare Transactions:**

- Compare the bank statement to the institution's accounting records.
- Ensure that all deposits and withdrawals are correctly recorded.

3. **Identify Discrepancies:**

- Investigate and resolve discrepancies such as unrecorded transactions or timing differences.

4. **Adjust Entries:**

- Make necessary journal entries to correct any errors found during the reconciliation process.

5. **Finalize Report:**

- Prepare a bank reconciliation report summarizing the adjustments made and the final balance.
- Submit the report to management for review.

7. **Budgeting and Forecasting**

Purpose:

Ensure proper financial planning and resource allocation for the organization's operations.

Procedure:

1. The heads of the institutions will call a meeting at the beginning of December every year and ask participants to give their next-year academic and non-academic plans and infrastructural requirements details.
2. The following people should participate in the meeting:
 - Head of the Institutions
 - Academic Head, Principal, or Vice Principal
 - Finance Director
 - Finance Officer
 - Maintenance Dept. Head
 - Housekeeping Department Head
 - Institutional Accountant
3. After the primary meeting at the end of December, the finance officer will get their requirements with an estimated amount.
4. The Finance Department will prepare the first draft budget **in the month of January** based on the data provided by all departments and will sit with the HOI before submitting the budget to the Management Committee.

5. The first draft budget will be presented before the management committee on February 2nd week, and the HOI, Academic Head, and CFO should participate in the meeting to evaluate each expense and make necessary changes to the draft budget.
6. **After being approved by the** Management Committee meeting, the budget will be submitted at the nearest general body meeting in March.
7. The final budget will be presented by the CFO and get approval from the general body.
8. After admissions completion during the month of June, the budget will be revised if there are any significant changes, or an additional budget will be prepared with the necessary changes to the budget and will get approval from the management committee or trust.
9. Budget V/s Actual analysis will be conducted on a quarterly, half-yearly, and yearly basis.

8. Jobs & Responsibilities

Finance Officer

- Responsible for the complete Department works of all subordinates. Ensure that financial transactions are properly updated and recorded on daily basis.
- Preparation of monthly/quarterly financial and management reporting such as (Department wise Income and expenditure, Balance sheet, Profit and Loss account, Cash flow statement, Performance Analysis Report, Report risk management, regular review of actual with budget, budgetary control.
- Manage and ultimate responsibility for the Finance ERP implementation and running.
- Make sure the internal control system, policies and procedures, work flow of each document.
- Responsibility of complete tax returns and other statutory compliance requirements Such as GST, TDS, ESI EPF, Professional Tax etc.
- Team leader of Budget Preparation committee along with assigned accounts team, all other department heads, COO, CEO etc.
- Control on Treasury, Banks, online Banking on Daily Basis, Document Verification
- Ensure account receivables and payables activities are performed accurately and timely.
- Ensure all expenses are within the assigned budget including projects activities.

- Dealing with the Auditors, Banks, Agreements Terms and Conditions etc.
- Review the vendor evaluation report, ensure the purchase procedures are completed, Regular review of Inventory Management (Book store, General Store, Mess Purchases Project follow up etc.,
- Review of payroll, checking the all documents on daily basis if it is as per compliances.
- Support the GFC, Management and Trust members for the work assigned on time to time.
- Make sure all transactions are subject to approved by higher authorities.
- Facilitating all matters required to the smooth functioning of the Department.

Senior Accountant

- Managing and overseeing the daily operations of the accounting department
- Assist finance officer in the preparation of financial reports such as financial statements and budget performance
- Recording, maintaining and managing day-to-day financial transactions of the company.
- Establishing and enforcing proper accounting methods, policies and principles
- Coordinating, preparing and maintaining purchase orders, invoices, and payment orders
- Verify that Cash payments, bank payments and online bank payments are made correctly and properly.
- Verify consolidated scroll tally with appropriate units Cash account
- Verify reconciliation of banking transactions and Cash Transaction done Regularly
- Manage all financial reporting, accounts receivable, general ledgers and reconciliations.
- Verify accounting functions including journal entries, reconciliations, and monthly and annual financial reporting.
- Verify following monthly employee benefit expenses and Inter branch accounts.
- Managing Payments based on budgets
Monitoring the work performance of colleagues

Accounts Payable

- Responsible for purchase booking, online payments,
- Ensure all invoices, bills are receiving, processing, verifying, and reconciling invoices.
- Ensures timely payments of vendor invoices and expense vouchers and timely updates to the trading and financial systems
- Keeps track of all payments and expense invoices and statements

- Payment to vendors by monitoring discount opportunities, scheduling and booking online and resolving purchase orders, contracts, invoices, or payment discrepancies and documentation.
- Issues stop-payments or purchase order amendments.
- Pays employees by receiving and verifying expense reports and requests for advances; preparing checks.
- Maintains accounting ledgers by verifying and posting account transactions.
- Verifies vendor accounts by reconciling monthly statements and related transactions.
- Disburse petty cash by recording entries and verifying documentation.
- Deal with inquiries from vendors and internal staff.
- Lodge manual payments at the bank and assist with the reconciliation process for manual payments.
- Updates job knowledge by participating in educational opportunities and protects the organization's value by keeping information confidential.
- Proper coordination with all related Departments and employees and other works assigned by higher authorities.
- Maintains financial historical records by filing accounting documents.

Accounts Receivable

- Daily record, Income and release payments based on proper approval from authorities.
- Manage and maintain tuition Fees and other Fees accounts
- Responsible for reaching out to customers to collect payments for overdue bills, loans, or other payments.
- Closely monitor receivables against due dates and report on potential overdue on a timely basis
- Maintain accounts receivable files and records in the financial systems
- Prepare reconciliation of banking transactions and Cash Transaction done Regularly
- Post customer payments (cash, check, Google Pay, and card transactions) to the appropriate account.
- Posts revenues by verifying and entering transactions.
- Updates receivables by totaling unpaid invoice.
- Providing accurate up-to-date account information to customer service representatives upon request.
- Resolves invalid or unauthorized deductions by following pending deductions procedures.
- Resolves collections by examining customer payment plans, payment history, credit line; coordinating contact with customer service representatives
- Proper coordination with all related Departments and employees and other works assigned by higher authorities
- Updates job knowledge by participating in educational opportunities and Protects the organization's value by keeping information confidential

- Maintains financial historical records by filing accounting documents

General Accountants

- Daily record, Income and release payments based on proper approval from authorities
- Prepare reconciliation of banking transactions and Cash Transaction done Regularly
- Maintain accounts receivable and accounts Payable files and records in the financial systems
- Ensures timely payments of vendor invoices and expense vouchers and timely updates to the trading and financial systems
- Keeps track of all payments and expense invoices and statements
- Maintains accounting ledgers by verifying and posting account transactions.
- Proper coordination with all related Departments and employees and other works assigned by higher authorities
- Updates job knowledge by participating in educational opportunities and Protects the organization's value by keeping information confidential
- Maintains financial historical records by filing accounting documents

9 Compliance and Auditing

Purpose:

Ensure compliance with tax regulations, legal requirements, and internal controls.

Procedure:

1. Document Maintenance:

- Maintain accurate and up-to-date financial records in accordance with legal and regulatory requirements.

2. Tax Filings:

- Prepare and file tax returns (GST, TDS, Professional Tax etc.) on time.

3. Internal Controls:

- Implement and enforce internal controls to prevent fraud and errors.

4. External Audits:

- Assist external auditors by providing necessary financial records and documentation for the audit process.

5. Compliance Reporting:

- Report on compliance with regulatory bodies, including tax authorities, financial institutions, and governmental agencies.

Responsibilities:

Finance Officer: Assists with audit and compliance tasks.

Review and Update of SOPs

This SOP will be reviewed and updated annually or as needed to reflect changes in regulations, Institution's policies, or industry best practices.

Revision History

Version No.	Date of Revision	Section	Reason for Revision	Revised By	Approved By	Effective Date
SOP/Rev 01	10/05/2024	SOP FN	As per Nabet improvement plan the structure of SOP is changed.	Finance Manager	HOS	01/06/2025

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